THE MASTERMIND COACHING CLASSES

Revision Notes

Class 7 · Social Science

Exploring Society: India and Beyond — Chapters 7 to 12 · CBSE / RBSE Syllabus

HOW TO USE THESE NOTES

Each chapter follows the textbook's own order of sections, so you can read straight through. Bold words are keywords you must be able to define. Tables compare and classify; shaded boxes hold definitions, formulas and key facts. The navy Key Takeaways box at the end of every chapter is your last-two-minutes revision.

CH.	CHAPTER TITLE	CORE THEME
7	The Age of Reorganisation	Post-Mauryan kingdoms, South India, foreign rulers, art
8	The Gupta Era: An Age of Tireless Creativity	Guptas, administration, science, arts, regional kingdoms
9	From the Rulers to the Ruled: Types of Governments	Democracy and other forms of government
10	The Constitution of India: An Introduction	Making, sources, features and Preamble of the Constitution
11	From Barter to Money	Barter, functions of money, coins, paper and digital money
12	Understanding Markets	Markets, price, supply chain, government role, consumer awareness

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CHAPTER 07 · HISTORY

The Age of Reorganisation

After the Mauryas (about 185 BCE) the empire broke into many competing kingdoms, and the north-west lay open to invaders. Yet this 'Age of Reorganisation' (2nd century BCE to 3rd century CE) was also a time of lively trade, new art styles and cultural blending. This chapter surveys the Shungas, Satavahanas, Chedis, southern kingdoms, Indo-Greeks, Shakas and Kushanas.

Big Questions

- Why is the period after the Mauryas called the 'Age of Reorganisation'?
- What values guided rulers of that period?
- How did foreign invaders merge into Indian society and create cultural confluence?

7.1 Setting the Stage

- The last Maurya emperor was assassinated about **185 BCE** by his commander-in-chief **Pushyamitra Shunga**. The empire broke up; former tributary kingdoms became independent, and the weakened **north-west** was exposed to invasions.
- Scholars call this the **Age of Reorganisation**: existing regions were being rearranged into new kingdoms that constantly competed. Kingdoms grew through **marriage (matrimonial) alliances** or war; control of border areas was vital for safety.
- Alongside politics there was a burst of art, architecture, literature and cultural exchange.

Dynasties from within the Subcontinent	Dynasties from outside
Shungas, Chedis, Satavahanas, Cholas, Cheras, Pandyas	Indo-Greeks, Shakas (Indo-Scythians), Kushanas

7.2 The Shungas

- **Pushyamitra Shunga** founded the dynasty, ruling parts of north and central India. His realm was smaller than the Mauryas'; he defended it and kept friendly relations with the Greeks after early clashes. Rule ended about a century later.
- He performed the **ashvamedha yajna** (Vedic ritual in which a horse accompanied by soldiers roams freely; land it crosses unchallenged becomes the king's; if stopped, there is a battle). Vedic rituals revived, but other schools still thrived.
- **Sanskrit** became a favoured language for philosophy and literature. **Patanjali** compiled the **Yoga Sutras**.
- Art: the **Bharhut Stupa** (Madhya Pradesh) — carved railings and reliefs of the Buddha's life stories (some of the earliest Buddhist art), Lakshmi carvings, singers and dancers, elephants holding the wheel of dharma. Terracotta figures, ivory combs, beads and gold-covered bangles show everyday life.

7.3 The Satavahanas

- Ruled much of the **Deccan** (Andhra Pradesh, Telangana, Maharashtra) from the 2nd century BCE; also called **Andhras**. Capitals: **Amaravati** and **Pratishthana (Paithan)**.
- **Economy**: agriculture in the **Krishna-Godavari** system; vigorous trade, even with the **Roman Empire** — exports: spices, textiles, sandalwood, ivory, gold-plated pearls; imports: glass, perfumed ointments. Tolls

and taxes added revenue; coins with **ships** show maritime trade and advanced shipbuilding. **Naneghat caves** near Pune served for toll collection and as traders' rest places.

- **Society**: princes often took their **mother's name** — **Gautamiputra Satakarni**, son of the powerful queen **Gautami Balashri**, who donated land to Buddhist monks (Nashik inscription). A **widow queen** at Naneghat performed Vedic rituals including the ashvamedha and made large donations (*dana*) of land, cows, horses, elephants and silver coins. Inscriptions in Brahmi include early **numerals** resembling modern ones — evidence of India's origin of numerals.
- **Religion**: devotees of Vasudeva (Krishna) but patrons of all; tax-free land to Vedic scholars and Jain and Buddhist monks. **Karla caves** (Lonavala) are for Buddhist monks; the **Pitalkhora yaksha** bears the line 'made by Kanhadasa, a goldsmith' (a goldsmith carving stone).
- Decline: in the **3rd century CE** weak central control and economic decline split the empire.

7.4 The Chedis of Kalinga

- After the Mauryas, **Kalinga** rose under the **Chedi** dynasty. **Kharavela**, a Jain devotee called *bhikshu-raja* (monk-king), respected all sects.
- **Udayagiri-Khandagiri caves** near Bhubaneswar: rock-cut Jain monk caves with panels and statues; the **Hathigumpha inscription** (Brahmi) records Kharavela's year-wise victories and public works, his council of ascetics and sages, and his pride in being a 'respecter of every sect and repairer of every temple' — the Indian ethos of protecting all schools of thought.

7.5 The South: Cheras, Cholas, Pandyas

- Between the 2nd-3rd century BCE and 3rd century CE three kingdoms dominated the south; Ashoka's empire stopped at them (they remained independent).
- **Sangam literature** (Sangam from *sangha* = association; an assembly of poets) is the oldest in south India: anthologies on love, heroism, generosity; key source for historians; the era is the **Sangam Age**. The Sangams mention three 'crowned kings'.

Kingdom	Capital / area	Key facts
Cholas	Uraiyur; Puhar (Kaveripattinam); Kaveri delta; ruled 3rd century BCE to 13th century CE	**Karikala** defeated Chera-Pandya alliance; built the **Kallanai (Grand Anicut)** on the Kaveri below Srirangam, still in use, making the delta the 'rice bowl of the South'
Cheras (Keralaputra)	Vanji (Karur); west Tamil Nadu and Kerala	Patrons of Sangam poets; trade with Rome and West Asia in spices, timber, ivory, pearls; issued coins with royal emblem
Pandyas	Madurai	Mentioned by Megasthenes; famous for **pearls** (Kharavela imported them); naval power; inscriptions show concern for subjects and tolerance of all beliefs

NOTE

Silappadikaram (Tale of the Anklet), composed soon after the Sangam collections: Kannagi's husband Kovalan, living in Puhar, wasted his wealth on a dancer, returned, and went with Kannagi to Madurai. Falsely accused of stealing her anklet, he was executed by the Pandya king. Kannagi proved his innocence with her second anklet; the king died of shock; she cursed Madurai, which burned. She was honoured as a goddess in the Chera land and is still worshipped in Tamil Nadu and Kerala. Theme: **justice and the ruler's dharma**.

7.6 Foreign Rulers in the North-West

▸ Indo-Greeks

- Descended from the satraps Alexander left; after the Mauryas they took the north-west (present Pakistan, Afghanistan). Greek and Indian elements blended in governance, art, language.
- **Heliodorus pillar** (Vidisha, MP): erected by an Indo-Greek ambassador who praised **Vasudeva** as 'god of gods' and noted three virtues: self-restraint, charity, consciousness.
- Coins (gold, silver, copper, nickel) show a king on one side and Greek deities or Indian ones (Vasudeva-Krishna, Lakshmi) on the other; they are the main source about these rulers.

▸ Shakas (Indo-Scythians)

- Ruled the north-west from the late 2nd century BCE to the 5th century CE, until the Kushanas.
- The **Shaka Samvat** calendar developed then: 78 years behind the Gregorian (79 for January-March). Adopted as the **Indian National Calendar in 1957**.

▸ Kushanas

- From Central Asia, entered India about the **2nd century CE**; empire stretched from Central Asia to northern India. **Kanishka** was their greatest king (headless statue, inscription 'Maharaja Rajadhiraja Devaputra Kanishka').
- Coins show Kanishka with the **Buddha** (inscribed in Greek script) or **Shiva with Nandi** — reflecting respect for many faiths.
- Controlled a large part of the **Silk Route**, connecting India with Asia and the West, boosting trade.

Feature	Gandhara School	Mathura School
Region	Western Punjab / north-west	Mathura, Uttar Pradesh
Material	Grey-black **schist**	**Red sandstone**
Influence	Greco-Roman + Indian; realistic anatomy, flowing robes	Distinctly Indian; fuller figures with smooth modelling
Subjects	Many fine Buddha images, bodhisattvas	Buddha, Shiva, Lakshmi, Kubera, yakshas and yakshinis (moustache in some)

- This period saw deities depicted in human form (e.g., Surya), laying the base for temple art. **Sanskrit literature** flourished and the **Mahabharata and Ramayana** took shape.
- Message: Indian heritage grew by **interaction and assimilation**, with Indian (Hindu and Buddhist) themes dominant.

Ruler / dynasty	Approximate period
Pushyamitra Shunga	185 BCE onward
Kharavela (Chedi)	1st century BCE
Satavahanas (Gautamiputra Satakarni)	2nd century BCE to 3rd century CE
Karikala (Chola)	Sangam Age
Indo-Greeks	After the Mauryas
Shakas	Late 2nd century BCE to 5th century CE

Ruler / dynasty	Approximate period
Kushanas (Kanishka)	From 2nd century CE

7.7 Quick Revision

Likely question	Model answer
Why is the post-Maurya period called the Age of Reorganisation?	The empire broke into many competing kingdoms and invasions from the north-west reshaped the political map.
Who founded the Shunga dynasty?	Pushyamitra Shunga, who assassinated the last Mauryan about 185 BCE.
What is the ashvamedha yajna?	A Vedic ritual where a free-roaming horse marks the king's claim over the lands it crosses; if stopped, a battle decides supremacy.
What does the Bharhut stupa show?	Shunga-period carved railings with scenes of the Buddha's life — early Buddhist art.
Where did the Satavahanas rule? Name their capitals.	The Deccan (Andhra, Telangana, Maharashtra); Amaravati and Pratishthana (Paithan).
Why did Satavahana kings use mothers' names?	It shows the high status of women such as Gautami Balashri; e.g. Gautamiputra Satakarni.
What is the Hathigumpha inscription?	Brahmi record in Udayagiri caves of Kharavela's victories and welfare works.
What is Sangam literature?	The oldest literature of south India: anthologies by poets' assemblies on love, heroism and society.
Why is Karikala remembered?	He defeated the Chera-Pandya alliance and built the Kallanai (Grand Anicut) on the Kaveri.
Summarise Silappadikaram.	Kannagi's husband Kovalan is wrongly executed in Madurai; she proves his innocence, curses the city and is honoured as a goddess; it centres on justice.
Who were the Indo-Greeks? What does the Heliodorus pillar show?	Rulers descended from Alexander's satraps; the pillar shows a Greek ambassador devoted to Vasudeva — cultural blending.
What is Shaka Samvat?	A calendar 78 years behind the Gregorian, adopted as India's National Calendar in 1957.
Compare Gandhara and Mathura art.	Gandhara: schist, Greco-Roman influence; Mathura: red sandstone, Indian style.

★ KEY TAKEAWAYS

- Mauryan break-up (**185 BCE**) → many kingdoms + foreign invasions = **Age of Reorganisation**.
- **Shungas** (Bharhut, ashvamedha, Patanjali), **Satavahanas** (Deccan, trade with Rome), **Chedis** (Kharavela).
- South: **Cholas, Cheras, Pandyas**, **Sangam literature**, Silappadikaram, Kallanai.
- **Indo-Greeks, Shakas, Kushanas** entered via the north-west and absorbed Indian culture.
- **Gandhara and Mathura** art; **Shaka Samvat** is India's national calendar.
- Trade (Silk Route, Roman trade) and cultural fusion marked the age.

CHAPTER 08 · HISTORY

The Gupta Era: An Age of Tireless Creativity

From the 3rd to the 6th century CE the Guptas gave north India a long spell of peace and prosperity. Mathematics, astronomy, medicine, metallurgy, literature and art reached new heights, so historians often call it the 'classical age'. Meanwhile the Vakatakas, Pallavas and Kamarupa flourished elsewhere.

Big Questions

- Who were the Guptas and why is their period called the 'classical age'?
- What was happening in the rest of the Subcontinent?
- Who were the great figures of this period and why do they matter today?

8.1 The Political Map (3rd-6th century CE)

Kingdom	Capital	Area / note
Gupta Empire	Pataliputra (Patna)	Most powerful; 3rd to 6th century CE; north and west India plus parts of centre and east
Vakatakas	Nandivardhana (near Nagpur)	Central India; **allies** of the Guptas
Pallavas	Kanchipuram	South (Tamil Nadu, Karnataka, Telangana, Andhra); rose after the Satavahanas; ruled to the later 9th century
Kamarupa (Varman dynasty)	—	Assam / Brahmaputra valley, north Bengal, Bangladesh

8.2 The Iron Pillar of Delhi

- At Mehrauli, Delhi; about **1,600 years old**, **6 tonnes**, **does not rust**. Erected in the reign of **Chandragupta II**, dedicated to **Vishnu**, with inscription praising the king 'Chandra'; probably first set up near the Udayagiri caves (MP).
- Reason for rust-resistance: a thin protective layer formed by the special iron and air's oxygen on the surface. A proof of India's advanced **metallurgy**.

8.3 Rise and Rulers of the Guptas

- The Kushana empire weakened by the 3rd century CE; the Guptas, probably regional rulers near present Uttar Pradesh, rose to power.
- **Chandragupta I** (the grandfather): early expansion, coins showing himself with Queen **Kumaradevi** and Lakshmi, strategic alliances.
- **Samudragupta** (warrior king): the **Prayaga Prashasti** (pillar inscription at Prayagraj by court poet **Harisena**) says he aimed to be **dharani-bandha**, 'unifier of the Earth'. He defeated many kings; some were reinstated as tributaries. Also patron of art and learning; coins show him playing the **veena**; ashvamedha coins mark the horse sacrifice. In the south he defeated a Pallava ruler and in the north-east the ruler of Kamarupa but let them keep their thrones if they paid tribute.

- **Chandragupta II 'Vikramaditya'** (Samudragupta's son): a Vishnu devotee (Garuda on inscriptions); golden age patron of poets, scholars, artists. Do not confuse with Chandragupta Maurya.
- Sources: the *Vishnu Purana* names core regions (Anuganga, Prayaga, Saketa/Ayodhya, Magadha); at its peak the empire was much larger.

8.4 Faxian's Account

- **Faxian** (Chinese pilgrim, early 5th century CE, AD 399-414) came to see Buddhist sites, learn from scholars and collect manuscripts. His *A Record of Buddhistic Kingdoms* describes numerous, happy people, light taxes (royal farmers paid a share of grain), salaried royal guards, rich orderly cities, **charitable houses and medical aid** set up by Vaishya heads of families.
- He also records the harsh treatment of the **chandalas** (outcastes living outside cities). Lesson: a traveller's account shows only one viewpoint; historians must **corroborate** with many sources.

8.5 Governance, Titles and Alliances

- **New titles**: *maharajadhiraja, samrat, chakravartin* (earlier kings used *rajan, maharaja*), showing claim to supreme authority.
- **Expansion**: war, diplomacy and **matrimonial alliances** (Kautilya's *mitra*). Example: **Prabhavati Gupta**, daughter of Chandragupta II, married a Vakataka prince; after he died young she was **regent** (temporary ruler) for her sons and kept the alliance firm. Her inscription calls her 'mother of two kings'; a Vishnu devotee, she built temples (e.g., Ramtek / Ramagiri).
- **Administration**: empire divided into provinces; **land grants** to local rulers, priests, chieftains, recorded on **copper plates**, ensuring tax collection and local control.

8.6 Trade and Revenue

- Main income: **land tax**; also fines, mines, irrigation, trade and crafts. Spent on administration, army, temples, infrastructure, scholars and artists.
- Trade with the Mediterranean, Southeast Asia and China (textiles, spices, ivory, gems) via the Indian Ocean network; **Socotra Island** (Arabian Sea) was a stop, with Indian traders' Brahmi inscriptions and stupa designs found there.

8.7 The Classical Age

- Gupta kings worshipped Vishnu yet supported Buddhists too: **Nalanda university** and viharas. Long **peace and stability** funded scholars and artists, so the era is called the **'classical age'**. Earlier knowledge was compiled into texts.

Figure	Field / place	Contribution
Aryabhata (c. 500 CE)	Mathematics, astronomy; Kusumapura (near Patna)	*Aryabhatiya*; formulas for motion of Sun, Moon, planets; Earth **spins on its axis** (day and night); year = 365 days 6 h 12 min 30 s (modern: 365 d 5 h 48 min 45 s); fair size of Earth; correct explanation of **eclipses**; calculation methods
Varahamihira	Astronomy, mathematics, astrology; Ujjayini	*Brihat Samhita*: encyclopedia of astronomy, weather forecasting, architecture, town planning, agriculture

Figure	Field / place	Contribution
Kalidasa	Sanskrit poet	*Meghadutam* ('Cloud Messenger'): a banished yaksha sends a message to his beloved through a cloud, describing landscapes and weather of north India; also *Raghuvamsham*
Charaka and Sushruta (texts compiled)	Ayurveda	*Charaka Samhita* and *Sushruta Samhita* given final form: diseases, diagnosis, diet, medicines, surgery; holistic mind-body-nature view

8.8 Art and Architecture

- **Sarnath**: exquisite Buddha sculptures. **Ajanta caves** (Maharashtra; carved with Gupta and Vakataka support): rock-cut caves, central stupa with Buddha, wall paintings such as Bodhisattva **Padmapani**, Jataka tales. **Udayagiri** (MP): rock-cut caves with carvings (Vishnu etc.). **Deogarh Dashavatara temple** (UP): Vishnu on Sheshnag. Terracotta Ganga (on makara) and Yamuna (on tortoise) from Ahichchhatra. Gupta art set high standards of beauty.

8.9 Decline and Neighbours

- By the 6th century CE the **Huna** tribes from Central Asia attacked repeatedly, and strong regional rulers rose, ending Gupta power.
- **Pallavas**: possibly tributaries of the Satavahanas; mostly Shiva devotees; great temple and rock-cut builders; Kanchipuram, 'city of a thousand temples', a major centre of learning with **ghatikas** (centres of learning begun under the Satavahanas).
- **Kamarupa** (Varmans): ancient name **Pragjyotisha**; the Mahabharata mentions king **Bhagadatta**; temples and monasteries were centres of learning. Both are in the Prayaga Prashasti.
- Pattern: the Guptas defeated rulers but let them rule as tributaries.

8.10 Quick Revision

Likely question	Model answer
Why is the Gupta age called the classical age?	Long peace allowed achievements in literature, science, art and medicine, and earlier knowledge was compiled.
Who was Vikramaditya?	Chandragupta II.
What does the Prayaga Prashasti tell us?	Harisena's inscription praises Samudragupta's conquests and patronage; he aimed to 'unify the Earth'.
What is special about the Iron Pillar?	A 6-tonne, 1,600-year-old pillar that has not rusted due to a protective surface layer; shows ancient metallurgy.
Who was Prabhavati Gupta?	Daughter of Chandragupta II, Vakataka queen and regent who kept the Gupta-Vakataka alliance strong.
How did the Guptas administer their empire?	Provinces and land grants to local leaders, recorded on copper plates, for tax collection and local control.
What were the main sources of Gupta revenue?	Land tax, fines, taxes on mines, irrigation, trade and crafts.
List Aryabhata's achievements.	Aryabhatiya; spinning Earth; correct eclipse explanation; accurate year length; calculation methods.

Likely question	Model answer
What is Brihat Samhita?	Varahamihira's encyclopedic work on astronomy, weather, architecture, town planning and farming.
What does Meghadutam describe?	A yaksha's message to his beloved through a cloud, with landscapes and weather of north India.
Who was Faxian and what did he report?	A Chinese Buddhist pilgrim who described a prosperous, orderly society but also harsh treatment of chandalas.
Why did the Gupta Empire decline?	Repeated Huna invasions and the rise of regional powers.
Who were the Pallavas?	A southern dynasty (capital Kanchipuram) of temple builders, mostly Shiva devotees.

★ KEY TAKEAWAYS

- Guptas: 3rd-6th century CE, capital **Pataliputra**; key rulers **Chandragupta I, Samudragupta, Chandragupta II (Vikramaditya)**.
- Governance by provinces, **land grants**, matrimonial alliances; main revenue **land tax**.
- **Aryabhata, Varahamihira, Kalidasa, Charaka-Sushruta** and the **Iron Pillar** show scientific and literary brilliance.
- Art: **Ajanta, Sarnath, Udayagiri, Deogarh**.
- Decline due to **Hunas** and regional powers.
- Contemporaries: **Vakatakas, Pallavas, Kamarupa**.

CHAPTER 09 · POLITICAL SCIENCE

From the Rulers to the Ruled: Types of Governments

Every country needs a government, but governments differ in where their power comes from, how they are formed, how they are organised and what they work for. This chapter compares democracies (direct, parliamentary, presidential) with monarchy, theocracy, dictatorship and oligarchy, and explains why democracy matters.

Big Questions

- What are the different types of government?
- Where do governments get their power from?
- How does a government interact with the people?
- Why does democracy matter?

9.1 What Is Government? What Does It Do?

Kautilya's *Arthashastra* says a ruler's internal duties are threefold: **raksha** (protection from external aggression), **palana** (maintaining law and order) and **yogakshema** (welfare of the people).

- Roles of government: maintain law and order; ensure peace, stability and security; manage relations with other countries; national defence; supply essential goods and services (education, health, infrastructure); manage the economy; promote welfare.
- **Functions of government**: **legislative** (make rules / laws), **executive** (implement them and administer the country), **judicial** (ensure rules are followed and settle disputes). Compare a school committee that makes, implements and enforces school rules.

9.2 What Is Democracy?

- Democracy = 'rule of the people': the people are the source of power and authority. Abraham Lincoln: 'government **of** the people, **by** the people, **for** the people'.
- **School example** — three ways to form a student committee: (1) all students join (impractical: decisions and work become difficult); (2) the Head Teacher selects (many have no voice); (3) students **elect representatives** from each grade (democratic and workable). A **representative** acts on behalf of others.

9.3 What Makes Governments Different?

Question	Democracy	Other forms (examples)
Who decides 'this is the government'? (source of authority)	The people	Theocracy: religious beliefs and head of a religious institution
How is it formed?	Usually by elections	Monarchy: ruler usually from the royal family
What are its parts and what do they do?	Written **constitution**; legislature, executive, judiciary	King / queen decides the system; one body may do all three functions
What is it working for?	Equality and prosperity for all	Some serve only certain families or groups

9.4 Democratic Governments

▸ Fundamental principles of democracy

- **Equality**: equal treatment, equal access to education and health, equal before the law.
- **Freedom**: right to make choices and express opinions.
- **Representative participation**: people elect their representatives, who form the legislature.
- **Universal adult franchise**: every adult citizen has the right to vote. India gave it from the start of the Republic in **1950**; Switzerland gave women the vote only in **1971**; effective universal suffrage in the UK came in 1928 and in the USA by 1965.
- **Fundamental rights** (equality, freedom of speech and expression, against exploitation) are protected.
- **Independent judiciary** protects rights and ensures laws are followed by citizens and the government itself.
- These are ideals; not every democracy fully practises them.

Country	Year democracy established
USA	1787
Switzerland	1848
India	1947
Germany	1949
Kenya	1964
Nepal	2008

Type	Meaning	Example / limit
Direct democracy	All citizens take part directly in all decisions	Some forms in **Switzerland**; hard to run in large countries
Representative democracy	People elect representatives through universal adult franchise; government is **accountable** to them; elections at fixed intervals (India: every **5 years**; USA: every **4 years**)	Most democracies today
Parliamentary	Executive is part of the legislature; ministers answerable to it and stay while they have its **confidence**; people elect the legislature, not the executive	**India** (PM and Council of Ministers must hold the confidence of the **Lok Sabha**)
Presidential	Executive works independently of the legislature; president elected by the people and does not need legislature's confidence	USA, South Korea

Country	Executive	Legislature	Judiciary
India	Prime Minister and Council of Ministers	Two houses; Lok Sabha (lower) more powerful than Rajya Sabha (upper)	Independent
USA	President	Senate and House of Representatives with equal power	Independent

Country	Executive	Legislature	Judiciary
South Korea	President	Single house (National Assembly)	Independent
Australia	Prime Minister and ministers	Senate and House of Representatives with equal power	Independent

DEFINITION

Executive: implements laws. **Legislature**: makes laws (India: Parliament; USA: Congress); usually has an **Upper House** (elected or nominated) and a **Lower House** (directly elected, generally stronger). **Separation of powers**: the three organs work independently without interfering in each other. **Accountability**: government is answerable to the people who elected it. In India, states (Rajasthan, Kerala) have governments but are under the Union Government.

9.5 A Peek into History: Early Republics

- A **republic**: head of state is elected, not a hereditary monarch. In the **Vajji (Vriji)** mahajanapada the **Lichchhavi** clan chose leaders on merit, filled key posts by election and held regular meetings of clan representatives.
- **Uttaramerur inscriptions** (10th century CE, Chola period, Tamil Nadu): detail the election of village sabha members — sealed ballot boxes, qualifications, duties, and dismissal for corruption.
- Rome and Greece had republics in the 5th-4th centuries BCE, but in Greece women, workers and slaves could not vote; elsewhere only a privileged few decided.

9.6 Other Forms of Government

▸ Monarchy

- In ancient India kings were guided by sabha / samiti, ministers, officials and scholars. They were expected to follow **rajadharma** (rule by dharma for people's welfare) — an ideal, not always achieved. Elsewhere some kings claimed divine power and held all authority.
- **Bhishma's advice** to Yudhishthira (Shanti Parva, Mahabharata): the king's highest priority is people's welfare, he must apply law without bias, avoid attachment to power and take wise counsel; his authority is temporary and bound by dharma.
- **Kalhana's Rajatarangini** (12th century): King **Chandrapida** wanted to build a temple but a cobbler's hut stood in the way; the king, instead of forcing him, humbly asked permission and paid compensation — respect for even the humblest subject's home.
- A **monarch** (king / queen) is a **sovereign** (power independent of outside influence) whose position is usually **hereditary**.

Type of monarchy	Features	Example
Absolute	Monarch has complete control over making, enforcing and adjudicating laws; may appoint an advisory council but is not bound by it	Saudi Arabia (rule by Islamic law)
Constitutional	Monarch is head of state with only nominal power; elected parliament makes laws; PM and ministers hold executive power	United Kingdom (really a parliamentary democracy)

▸ Theocracy, dictatorship, oligarchy

Form	Meaning	Examples / notes
Theocracy	Rule by religious law and religious leaders	**Iran** (Islamic Republic: Supreme Leader, chosen by clerics for life, has ultimate authority; also an elected president and parliament); Afghanistan; Vatican City
Dictatorship	One person or small group holds absolute power, with no limits from constitution or law	**Adolf Hitler** (Germany, Chancellor 1933; Holocaust killed six million Jews, caused World War II 1939-45); **Idi Amin** (Uganda; thousands killed, Indians forced to flee). North Korea (Shane's story: rules on haircuts, no global internet, spying on others) is shown as a controlling state
Oligarchy	From Greek *oligos* (few) + *arkho* (rule): small powerful group, often wealthy families, takes key decisions	Aristocratic families in ancient Greece; some democracies show signs when a few politicians and rich businesspeople hold too much influence

> **NOTE**
> The **Roma** (Romani people), once nomads, are traced by language and culture to India; they were among Hitler's victims.

9.7 Why Democracy Matters

Characteristic	Democracy	Absolute monarchy	Dictatorship	Oligarchy
Universal adult franchise	Yes	No	No	No
Equality among citizens	Yes	No	No	No
Freedom of speech	Yes	No	No	No
Separation of powers	Yes	No	No	No
Welfare of all citizens	Aim	Not guaranteed	Not guaranteed	Not guaranteed

- In a genuine democracy people choose their government and can **change it through elections**; they can speak, dress, believe and express themselves freely so long as they do not harm others' rights; the government is accountable for rights and basic needs. More than half the world's countries are democracies.
- **Challenges**: corruption, wealth disparity, excessive control by a few, erosion of judicial independence, manipulation of information. Citizens must remain vigilant.

9.8 Quick Revision

Likely question	Model answer
What are the three functions of government?	Legislative (make laws), executive (implement) and judicial (enforce / interpret).
What does democracy mean?	Rule of the people; people are the source of power and choose their representatives.

Likely question	Model answer
Why is direct democracy not practical in large countries?	Too many people to take part in every decision, like everyone joining the school committee.
Differentiate parliamentary and presidential democracy.	In parliamentary, the executive comes from and is answerable to the legislature (India); in presidential the elected president works independently of it (USA).
What is separation of powers?	Legislature, executive and judiciary work independently without interfering with one another.
What is universal adult franchise?	The right of every adult citizen to vote.
Why is an independent judiciary essential?	It protects fundamental rights and ensures that even the government obeys the law.
Distinguish absolute and constitutional monarchy.	Absolute: monarch holds all power (Saudi Arabia); constitutional: monarch is a nominal head with real power in an elected parliament (UK).
What is a theocracy? Give an example.	Government by religious law and leaders, e.g. Iran, Vatican City.
What is a dictatorship?	Rule by one person or small group with absolute power and no legal limits, e.g. Hitler.
What is oligarchy?	Rule by a few powerful, usually wealthy people.
Give early Indian examples of democratic practices.	Lichchhavis of Vajji, and the Uttaramerur village sabha elections with sealed ballot boxes.
What type of government does India have?	A representative, parliamentary democracy (republic): people elect Parliament and the Council of Ministers is responsible to the Lok Sabha.

★ KEY TAKEAWAYS

- Government makes, implements and enforces laws (**legislative, executive, judicial**).
- Governments differ in **source of authority, formation, structure and goals**.
- Democracy rests on **equality, freedom, representation, universal adult franchise, rights, independent judiciary**.
- Forms of democracy: **direct, representative (parliamentary, presidential)**; India is parliamentary.
- Other forms: **monarchy (absolute / constitutional), theocracy, dictatorship, oligarchy**.
- India has an old tradition of republics and elections (Vajji, Uttaramerur).
- Democracy matters because people can **change** their government, but citizens must guard against its weaknesses.

CHAPTER 10 · POLITICAL SCIENCE

The Constitution of India: An Introduction

The Constitution is the rulebook of the nation. It sets up the government, protects citizens' rights, lists duties and states the values the country stands for. This chapter explains what a constitution is, how ours was made, what shaped it, its key features and the Preamble.

Big Questions

- What is a constitution and why do we need one?
- How was the Indian Constitution prepared?
- How did the freedom struggle and civilisational heritage influence it?
- What are its key features, and why is it still relevant after seventy years?

10.1 What Is a Constitution?

- The Constitution came into effect on **26 January 1950** (celebrated as **Republic Day**). The original is preserved in a **helium-filled glass case** in Parliament; helium does not react with paper or ink.
- A constitution is a document that spells out a nation's **basic principles and laws**. It lays out: (1) the framework and roles of the three organs (legislature, executive, judiciary); (2) **checks and balances** among them for fairness, responsibility and accountability; (3) citizens' **rights and duties**; (4) the nation's long-term goals and aspirations.
- The President takes an oath to *preserve, protect and defend* it; the PM, ministers and judges promise to follow it.
- **Why needed?** Like the kabaddi referee's rulebook, it lets everyone settle disputes by agreed rules. It decides what kind of government there will be, how it is formed and how it works, and states values such as equality, justice, fraternity, pluralism and freedom, which form the basis of laws.
- Size: **25 Parts and 12 Schedules** now (22 Parts and 8 Schedules in 1950); the **world's largest written constitution**.

Constitution deals with	
Values and ideals of a society	Rights and duties of citizens
Structure and formation of government	Functions of different parts of government
Political system	Guiding principles for government

10.2 Writing the Constitution

- While the freedom struggle continued, planning was needed: type of government, guiding rules, who votes, how disputes are settled.
- **Constituent Assembly**: formed **9 December 1946** with **389** members (reduced to **299** after Partition), **15 women**; members represented regions, professions and social groups and were elected by the provincial legislative assemblies (themselves elected by the people).
- Temporary president at the start: **Dr. Sachidananda Sinha**. Chairman: **Dr. Rajendra Prasad** (later first President of India).
- **Drafting Committee** chaired by **Dr. B. R. Ambedkar** (social reformer, first Law and Justice Minister).

- Took almost **three years**; adopted on **26 November 1949**; came into force on **26 January 1950**.
- The text was hand-written by calligrapher **Prem Behari Narain Raizada**, and **Nandalal Bose** and his team illustrated it with scenes from Indian history (gurukula, Ramayana, Mahabharata, Nataraja, Mahabalipuram, Akbar, Nalanda, Mohenjo-daro to the freedom movement).

10.3 What Shaped the Constitution?

Influence	What it gave
Freedom movement	Ideals of equality, justice, freedom, fraternity, preserving cultural heritage; many freedom fighters sat in the Assembly. Answers to questions on universal adult franchise, separation of legislature and judiciary, fundamental rights, amendment process, powers of Centre and States
Civilisational heritage	Acceptance of diverse viewpoints, Nature as sacred, love of learning, respect for women, *vasudhaiva kutumbakam* ('world is one family'), *sarve bhavantu sukhinah*. Past governance experiments (janapadas, sanghas, saptanga, rajadharma) stressed duties, so **Fundamental Duties** were included
Other countries' constitutions	Studied France, USA, UK, Ireland, Australia ('Let noble thoughts come to us from every side'). **Liberty, equality, fraternity** from **France** (French Revolution, 1789); **Directive Principles of State Policy** from **Ireland**; the American Constitution helped shape an **independent judiciary**

10.4 Key Features

- **Three organs** with separation of powers: legislature makes laws; executive (headed by the PM) implements; judiciary checks laws against the Constitution and decides on breaches and punishment.
- **Three-tier government**: central, state and local (Panchayati Raj).
- **Division of powers** between Centre and States; defined roles and accountability for each organ.
- **Electoral system** ensuring every eligible citizen can vote (universal adult franchise from the beginning).
- **Fundamental Rights, Fundamental Duties and Directive Principles.**

	Fundamental Rights	Directive Principles (DPSP)	Fundamental Duties
Nature	Promises that **must be kept**; can be enforced in court	Goals / guidelines for the government; **not enforceable** in court	Responsibilities of citizens (Part IV-A, added **1976**)
Examples	Equality (Art. 14: equality before law); Freedom (Art. 21: life and personal liberty); against Exploitation; Art. 21-A: right to education	Art. 38 social, political, economic justice; Art. 41 welfare; Art. 44 Uniform Civil Code; Art. 47 nutrition and health; Art. 48-A environment and wildlife; Art. 49 protecting monuments	Abide by the Constitution, flag and anthem; defend the country; preserve composite culture; protect environment and have compassion for living creatures; strive for excellence; parents to provide education to children aged 6-14

REMEMBER

Fundamental Rights = demandable now; DPSP = bigger goals that take time. Begum Aizaz Rasul (22 Nov 1949) said equality of women is no new concept in India but an ancient ideal.

10.5 A Living Document

- The makers knew new needs would arise, so changes (**amendments**) are allowed after rigorous debate in Parliament; some also need state legislatures; public opinion is sought; popular movements can start change.
- Examples: **Fundamental Duties** added in 1976; **Panchayati Raj** added in 1992 by the **73rd Amendment**; in **2004** the Supreme Court held that flying the national flag is part of freedom of expression after a citizen's challenge.

10.6 The Preamble

The Preamble summarises the guiding values. It begins 'We, the people of India', meaning the Constitution was drawn up by the people through their representatives, not handed down by a king or outside power.

Word	Meaning
Sovereign	People have supreme right to decide internal and external matters; no external power can dictate
Socialist	Wealth is created socially and shared; government regulates ownership of land and industry to reduce inequality
Secular	Complete freedom to follow any religion; no official religion; state treats all faiths with equal respect
Democratic	People enjoy equal political rights, elect rulers and hold them accountable; governed by basic rules
Republic	Head of the state is elected, not hereditary
Justice	No discrimination by caste, religion or gender; reduce social inequalities; welfare of all, especially the less advantaged
Liberty	No unreasonable restrictions on thought, expression and action
Equality	All equal before the law; end social inequalities; equal opportunity
Fraternity	Behave as members of one family; no citizen is inferior

IMPORTANT

The words **'Socialist'** and **'Secular'** were added to the Preamble by the **42nd Amendment, 1976**.

10.7 Quick Revision

Likely question	Model answer
What is a constitution?	A document stating a nation's basic principles and laws: organs of government, checks and balances, rights and duties, and long-term goals.
Why do we need a constitution?	It is a rulebook that settles disputes, defines the government and protects rights, so everyone agrees on common rules.
When did the Constitution come into force?	26 January 1950; celebrated as Republic Day.
Why is it preserved in a helium-filled case?	Helium does not react with paper or ink, so the document is preserved.

Likely question	Model answer
Write about the Constituent Assembly.	Formed 9 Dec 1946 with 389 members (299 after Partition), 15 women; Rajendra Prasad chaired; Ambedkar headed the Drafting Committee; adopted 26 Nov 1949.
What influenced the Constitution?	The freedom struggle, India's civilisational heritage and constitutions of other democracies.
What was borrowed from other countries?	Liberty-equality-fraternity from France; Directive Principles from Ireland; independent judiciary ideas from the USA.
Differentiate Fundamental Rights and Directive Principles.	Rights are enforceable in court; DPSP are guidelines that the government should strive to achieve.
What are Fundamental Duties? When added?	Citizens' responsibilities (e.g. respecting the flag, protecting environment); added in 1976.
Why is the Constitution called a living document?	It can be amended as needs change, e.g. Panchayati Raj added by the 73rd Amendment in 1992.
Explain the terms Sovereign, Secular and Republic.	Sovereign: independent decision-making; Secular: no state religion, equal respect; Republic: elected head of state.
Which words were added to the Preamble in 1976?	Socialist and Secular, through the 42nd Amendment.
Who wrote and who illustrated the Constitution?	Prem Behari Narain Raizada wrote it; Nandalal Bose and team illustrated it.

★ KEY TAKEAWAYS

- The Constitution is the **rulebook** of the nation; in force since **26 Jan 1950**.
- Made by the **Constituent Assembly** (Dec 1946 - Nov 1949); **Ambedkar** chaired the Drafting Committee.
- Shaped by the **freedom struggle**, India's **heritage** and **other constitutions**.
- Key features: three organs, three tiers, **Fundamental Rights, DPSP, Fundamental Duties**.
- It is a **living document** that can be amended.
- **Preamble**: sovereign, socialist, secular, democratic, republic; justice, liberty, equality, fraternity.

CHAPTER 11 · ECONOMICS

From Barter to Money

Before money, people swapped goods directly. As trade grew, the difficulties of swapping pushed societies towards a common medium of exchange. This chapter traces barter, the problems that led to money, the functions money performs, and its journey from cowrie shells and coins to notes and UPI.

Big Questions

- How did exchange take place before money?
- Why did money come into existence?
- How has money changed form over time?

11.1 The Barter System

- **Barter**: exchanging goods and services for other goods and services without using money (e.g. an extra eraser for a classmate's extra pencil). It is the earliest form of exchange, with evidence from all over the world.
- Commodities used as a medium: cowrie shells, salt, tea, tobacco, cloth, cattle (cows, goats, horses, sheep), seeds. Unusual examples: **Rai stones** (giant stone discs, Yap Island, Micronesia), the **Aztec Tajadero** (copper, Mexico), **Tevau** feather coils (Solomon Islands).
- **Money** = common tool accepted by everyone in exchange for goods and services. A **transaction** is an act of buying or selling; **commodities** are goods that can be bought and sold.

11.2 Why Do We Need Money? Problems of Barter

Think of a farmer with only an ox who needs shoes, a sweater and medicine. He cannot easily swap one ox for many things.

Problem	Meaning	Farmer's example
Double coincidence of wants	Both parties must want exactly what the other offers	Finding someone who needs an ox and offers shoes, sweater and medicine
No common measure of value	No agreed way to compare the worth of different goods	How much wheat equals a sweater?
Lack of divisibility	Goods cannot always be split into parts	Cannot exchange only part of an ox
Lack of portability	Hard to carry goods from place to place	Taking the ox everywhere
Lack of durability	Goods perish and cannot be stored	Wheat rots or is eaten by rats

DEFINITION

Divisibility: can be split into portions. **Portability**: can be carried easily. **Durability**: lasts long without damage. Good money is accepted by all, divisible, portable and durable.

▸ Barter that survives today

- **Junbeel Mela**, Morigaon district, Assam (*jun* = moon, *beel* = wetland): three-day fair that began with a gathering of Tiwa, Karbi, Khasi and Jaintia chiefs from the **15th century**. It opens with **Agni Puja**. Hill people barter roots, vegetables, fruits, herbs, spices and forest handmade goods for rice cakes and other foods from the plains.
- Other examples: book swap clubs; exchanging **old clothes for new utensils** with a door-to-door vendor (household clears items; vendor resells or recycles).

11.3 Functions of Money

Function	Explanation
Medium of exchange	Accepted by everyone as payment for goods and services, removing the double-coincidence problem
Store of value	Can be saved and used later without rotting (the farmer keeps money, not wheat)
Unit of account / common denomination	Measures and compares the value of goods and services through prices
Standard of deferred payment	Allows payment later (e.g. paying the remaining amount for a book at a later date)

Money circulates: parents pay shopkeepers, shopkeepers pay workers' salaries, workers buy goods and pay school fees.

11.4 The Journey of Money

Stage	Approximate period / details
Barter and commodity money	Before about 1000 BCE; cowrie shells (around 6000 BCE onward)
Metal coinage	From about 600 BCE; iron, silver, gold, copper
Official paper money	Introduced in India in the late 18th century; official paper money (1861)
Digital money	Debit cards, credit cards, net banking; UPI (2016)

▸ Coinage

- Rulers issued coins; **minting** (producing coins) was controlled by rulers. Coins of powerful kings were accepted beyond their kingdoms, easing trade across regions.
- Made of gold, silver, copper or **alloys** (mixtures of metals). Ancient coins were called **karshapanas or panas** with punched symbols called **rupas**. 'Pana' survives in Tamil, Telugu and Malayalam as *panam* and in Kannada as *hana* (money). Today's coins are alloys largely of iron with chromium, silicon, carbon.
- Coin sides: **obverse** (head) and reverse carried motifs of animals, trees, hills, kings, deities. Examples: **Chalukyas of Kalyana** — Varaha (Vishnu avatar) and a three-tiered parasol; **Cholas** — tiger emblem; Roman gold coins found at **Pudukkottai** (Tamil Nadu) and in Kerala show brisk overseas trade, in India's favour.
- Old units: **1 anna = 1/16 rupee**; in 1947 one anna bought a dozen bananas.
- The **₹ symbol** was adopted in **2010**, designed by **Udaya Kumar** (IIT Bombay): a blend of Devanagari 'Ra' and Roman 'R' with two stripes (flag and 'equals' sign).

▸ Paper money

- Heavy coins were hard to carry and store for big transactions, so **paper money** came, first used in **China**, introduced in India in the **late 18th century** (Bank of Bengal and Bank of Bombay notes).
- Coins are used for small amounts, notes for higher **denominations** (units of coins and notes, e.g. 50 paise, ₹1, ₹10, ₹500). Notes have motifs of India's heritage on the reverse and tactile features for the visually impaired.
- Only the **Reserve Bank of India (RBI)** can legally issue currency; no one else may.

▸ New forms of money

- **Digital money** is intangible: electronic. Methods: debit and credit cards, net banking, **UPI (Unified Payments Interface)** and **QR codes** (quick-response codes scanned by phone to pay straight into the receiver's bank account, as used by fruit seller Krishnappa).
- These transfer money from one bank account to another without cash.

> **REMEMBER**
>
> Arthashastra: an annual salary of 60 panas could be replaced by an *adhaka* (about 3 kg) of grain a day; the fine for failing to help a neighbour was 100 panas — more than an annual salary, showing the value placed on community duty.

11.5 Quick Revision

Likely question	Model answer
What is barter?	Direct exchange of goods and services without money.
Name commodities used as money.	Cowrie shells, salt, tea, tobacco, cloth, cattle, seeds, Rai stones.
What are the problems of barter?	Double coincidence of wants, no common measure of value, lack of divisibility, portability and durability.
What is double coincidence of wants?	Two people each have exactly what the other wants and can exchange directly.
List the functions of money.	Medium of exchange, store of value, unit of account and standard of deferred payment.
Where does barter survive?	Junbeel Mela in Assam, book swaps, old clothes for utensils.
What were karshapanas?	Ancient Indian punch-marked coins of silver, copper or alloys; symbols were called rupas.
What do Roman coins at Pudukkottai show?	Active overseas trade of south India, in India's favour.
Why did paper money replace coins for large payments?	Heavy coins are hard to carry and store.
Who issues currency in India?	The Reserve Bank of India.
What is a QR code payment?	Scanning a code with a phone to transfer money directly to the receiver's bank account.
Who designed the rupee symbol and when was it adopted?	Udaya Kumar of IIT Bombay; adopted in 2010.

★ KEY TAKEAWAYS

- **Barter** came first; its flaws (double coincidence, no common value, indivisible, non-portable, perishable) led to **money**.
- Money is a **medium of exchange, store of value, unit of account and deferred payment** standard.
- Money evolved: **commodities → metal coins (panas) → paper notes → digital (UPI, cards, QR)**.
- The **RBI** alone issues currency in India.

CHAPTER 12 · ECONOMICS

Understanding Markets

Almost everything we use reaches us through a market. This chapter explains what a market is, how prices are settled, the kinds of markets, how goods travel from producer to consumer, what markets mean for society, how the government regulates them and how consumers can judge quality.

Big Questions

- What are markets and how do they function?
- What is the role of markets in people's lives?
- What role does government play in markets?
- How can consumers assess quality of goods and services?

12.1 What Is a Market?

- A **market** is a place (physical or online) where people buy and sell goods and services; also called *bazaar*, *haat* (Hindi), *marukatte* (Kannada).
- A **need** is essential for survival (food, water, clothing, shelter); a **want** is desired but not essential. Markets help meet both, and also connect people, traditions and ideas.
- **Trade** = buying and selling or exchange of goods and services between people or countries.

NOTE

Hampi Bazaar (Vijayanagara Empire, opposite the Virupaksha temple): Portuguese travellers **Domingos Paes** ('the best-provided city in the world') and **Fernao Nuniz** described abundant grain, oil, silk, animals, birds, jewels, rubies, diamonds, pearls and cloth, and craftsmen working in the streets.

12.2 Prices and Markets

- Every market has a **buyer and a seller** who must agree on a **price** (amount at which a buyer is willing to buy and a seller willing to sell). They often **negotiate or bargain**.
- Guava example: the seller asks ₹80/kg — too high, buyers refuse; ₹20/kg — too low, seller makes a loss; about **₹40/kg** — acceptable to both. With experience the seller learns how many guavas to bring.
- Over time the quantity sellers offer (**supply**) and the quantity buyers want (**demand**) settle a price that is high enough for the seller and low enough for the buyer. **Demand** = quantity consumers are willing and able to buy at a price; **Supply** = quantity sellers are willing and able to sell at a price.
- Examples of price change: vegetables become cheaper late at night at weekly markets (perishable, avoid loss); heavy discounts on woollens at the end of winter (unsold stock).

12.3 Types of Markets

Basis	Type	Features / examples
Place	Physical market	Buyers and sellers meet in person: weekly markets and haats, local shops, street food stalls, malls; services needing contact (tailoring, salon) need physical presence

Basis	Type	Features / examples
Place	Online market	Apps / websites; goods delivered to the door; services like online classes; payment online; manufacturers can buy inputs online
Other	Stock market	Deals in shares, not goods and services (studied later)
Geography	Domestic market	Within the country's boundaries (e.g., paper bought from mills in India)
Geography	International market	Across borders: **exports** (selling abroad) and **imports** (buying from abroad)
Quantity	Wholesale market	Bulk buying and selling (mandis, Khari Baoli spice market in Delhi, flower market Bengaluru)
Quantity	Retail market	Small quantities to final consumers (garment shops, salons, groceries, Johari Bazaar Jaipur)

REMEMBER

India's trade (from the map): exports include outsourced services (software) to North America, chemical products to South America, pharmaceuticals to Africa, engineering goods to Europe, refined petroleum to West Asia. Imports include aircraft and parts from North America, copper ores from South America, diamonds from Africa, electrical equipment from Europe, crude oil and fertilisers from West Asia, vegetable oils from Southeast Asia. In 2024 India was the world's largest importer of vegetable oils (palm oil mainly from Malaysia, Indonesia, Thailand).

12.4 The Chain of Supply

1. **Producer / manufacturer** (farm or factory; an **input** is a material used to produce goods).
2. **Wholesaler**: buys in bulk from producers (e.g., farms), stores in **godowns** (warehouses) or **cold storage** for perishables, sells in **mandis** and wholesale markets.
3. **Distributor**: supplies goods from manufacturers / wholesalers to retailers, bridging distance and difficult terrain (like milk middlemen in the AMUL story).
4. **Retailer**: shop near households selling small quantities to **consumers** for consumption, not resale.
5. In **online markets**: manufacturers send bulk goods to an **aggregator** (website / app combining offers of many sellers), which packs and delivers to the buyer.

▸ Case study: Surat

- Asia's oldest textile market; thousands of factories making cotton and synthetic textiles. **Raw cotton** arrives through cotton mandis from Maharashtra and other parts of Gujarat; goes through weaving (power looms), dyeing and finishing, with a market at each stage; finished sarees and garments are sold through wholesalers to small shops and big stores in India and abroad. Wholesalers also gauge retailers' demand, keeping supply smooth.
- Surat also has the world's largest **diamond** industry (about 1.5 million artisans cutting and polishing). Trade has flourished since the **16th century** thanks to its west-coast location (port), roads, railways and generations of skilled artisans.

12.5 Role of Markets in People's Lives

- Markets link producers and consumers and give access to what people cannot produce themselves; without them farmers could not sell grain nor cloth makers get cotton.

- Some products lack a ready market (e.g., artist Aakriti's paintings: few buyers and sellers, so price and buyers are hard to find).
- **Signals to producers**: if many consumers ask for energy-saving refrigerators, producers make them, benefiting society.
- **Non-economic role**: long-term trust between buyers and sellers (tailor, jeweller, grocer's monthly account); markets mix cultures. **Ima Keithal** (Mother's Market) in Imphal, Manipur, is run by about **3,000 women**, selling vegetables, Manipuri attire, handloom and handicrafts; gives employment and is a cultural meeting place. South Indian haldi-kumkum sellers give a little free as a mark of good wishes.

12.6 Government's Role in Markets

Role	How it works
Controlling prices	Maximum price on essentials like life-saving drugs; **minimum price** (support price) for wheat, paddy, maize to protect farmers; **minimum wages**. Too low a price discourages producers; too high hurts consumers
Quality and safety standards	Approval and sample testing of medicines; standards for goods and services; checks on weights and measures (net quantity). Kautilya's *Arthashastra* asked ghee sellers to add 1/50 extra (*manasrava*) to compensate for ghee sticking to the container
Reducing external effects	Regulations on pollution, single-use plastics, health risks; too many rules can hamper markets
Providing public goods	Parks, roads, policing, welfare services where profit is not expected; available to all, use today does not reduce availability tomorrow

12.7 Assessing Quality: Consumer Awareness

- Read the label on a packet: net quantity, date of manufacture, batch number, best-before date, **MRP** (maximum retail price), manufacturer's name and address, nutrition facts, ingredients, allergen declaration, **FSSAI** mark and licence number.

Mark	Issued by	Used on
FSSAI	Food Safety and Standards Authority of India	Food products: safe to consume
ISI mark	Bureau of Indian Standards (BIS)	Electrical appliances, construction material, tyres, paper; safe and good quality
AGMARK	Government (Ag = agriculture)	Vegetables, fruits, cereals, pulses, spices, honey
BEE Star rating	Bureau of Energy Efficiency	TVs, laptops, ACs, refrigerators: more stars means less electricity

Besides certification, buyers rely on a product's **reputation** (word of mouth) and **online reviews**.

12.8 Quick Revision

Likely question	Model answer
What is a market?	A place, physical or online, where buyers and sellers exchange goods and services for money.

Likely question	Model answer
Distinguish need and want.	A need is essential for survival; a want is desired but not essential.
How is price determined?	Through bargaining and the interaction of buyers' demand and sellers' supply, until both agree.
Define demand and supply.	Demand: quantity buyers are willing and able to buy at a price; supply: quantity sellers are willing and able to sell.
Differentiate physical and online markets.	Physical: buyers and sellers meet in person; online: transactions via apps and websites from anywhere.
Distinguish domestic and international markets.	Domestic trade stays within the country; international trade crosses borders through exports and imports.
Who are wholesalers and retailers?	Wholesalers buy and sell in bulk; retailers sell small quantities to final consumers.
What does an aggregator do?	An online business combining many sellers; it packs and delivers goods to buyers.
Why is Surat a trading hub?	Cotton supply, power looms and dyeing units, wholesale network, port, roads, railways and skilled artisans since the 16th century.
How do markets benefit society?	Give access to goods, send demand signals to producers, provide employment and bring people together (e.g. Ima Keithal).
How does the government regulate markets?	Sets price limits, minimum wages and support prices; ensures quality and safety; controls pollution; supplies public goods.
What do FSSAI, ISI, AGMARK and BEE Star show?	Food safety; quality of industrial goods; quality of farm produce; energy efficiency.
What is a public good? Give examples.	A service available to all not provided for profit, e.g. roads, parks, policing.

★ KEY TAKEAWAYS

- A **market** brings buyers and sellers together; price comes from **demand and supply** and negotiation.
- Types: **physical / online, domestic / international, wholesale / retail**.
- Chain: **producer → wholesaler → (distributor) → retailer → consumer**; online uses an **aggregator**.
- Markets also build relationships and culture (Hampi Bazaar, Ima Keithal).
- Government controls prices, ensures standards, limits harm and provides **public goods**.
- Consumers can check **FSSAI, ISI, AGMARK, BEE Star**, labels and reviews.